

TICKING THE BOXES

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Economists and enterprises expect Budget 2023-24 to be in line with the previous two Budgets and not attempt anything radical

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The growth in public capital expenditure in infrastructure is expected to be maintained, creating jobs and growth for multiple industries

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Experts say private capex in infrastructure is essential to make GDP growth sustainable, and suggest stronger credit guarantee mechanisms, and access to infrastructure funding for pension funds and insurance companies

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India's GDP growth is slowing down, although it is still better than most developed nations. The Budget is expected to have measures to spur growth and demand

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The government expects an additional ₹3-3.5 lakh crore in tax collections this fiscal, giving the FM some manoeuvring room for social spending or infrastructure investments

several headwinds are blowing vigorously, and would serve to thwart any adventurist possibilities.

Resilient is the word being used to describe the country's current economic footing, even as the developed world goes through major convulsions—war in Ukraine and consequent mass migration, jobs and lives lost, and rising supply chain pressures; high inflation in the US, the UK and other developed economies; the return of Covid-19 in China and some western countries; the real possibility of softened prices of crude oil and other commodities spiking again; and some others. Naturally, such global tremors would not leave India untouched.

While India's current economic growth is looking good in the face of these headwinds, there are unmistakable signs of long-term growth slowing down. Plus, because of inflation, the subsidy bill for fuel, fertiliser and food has shot up big-time, and the increasing trade deficit because of crimping exports is hurting. Then, the post-pandemic consumption boom due to pent-up demand is now at the end of its tether. And the return of Covid-19, although not predicted to hurt India too much, is another factor the government will consider as it works out its allocations and spending thrust for the next fiscal.

But there's one big, bright spot. The government's coffers are looking better than before—it expects an additional ₹3-3.5 lakh crore in tax collections this fiscal. Apart from helping keep the fiscal deficit (difference between a government's total revenue and total expenditure) under control, it would also allow some manoeuvring room to the FM for spending in key areas, including infrastructure and social spends. More revenue-generating moves might also be in the offing to reduce the pressure on tax collec-

tions to fund the fiscal deficit.

So, what would be the big thrust areas of Budget 2023-24? "The government brought 35 per cent jump in capital expenditure [in the previous Budget], largely on infrastructure. I would think it would want to continue that," says Sanjay Kumar, Partner at Deloitte India. "Another good thing is that capex is going up and revenue expenditure as a share of Budget is coming down. That according to me is the right way to proceed on any national budget." Ranen Banerjee, Partner and Leader-Economic Advisory Services, PwC India, says that growth and jobs are the top priorities for the government, and whatever additional revenues are generated would likely be spent on further capex. "It not only adds infrastructure, but also adds jobs. Construction is the fastest job generator," says Banerjee, adding that he expects lots of support for another job-generating engine, the MSMEs, and for the agricultural community. "The allocations may go more towards programmes and schemes that can be completed within the next year."

GROWTH, GROWTH, GROWTH

The top priority before the government is to steady India's slowing GDP growth. In 2016-17, GDP grew 8.3 per cent, and the next three years saw that sliding to 8 per cent, 6.5 per cent and 3.7 per cent, respectively. In FY21, GDP contracted 6.6 per cent because of Covid-19, and bounced back to a strong 8.7 per cent in FY22. This was partly because of the contracted low base of FY21, but more because of the explosion of pent-up demand after the lockdowns got over, with the absolute GDP reaching a record ₹147.4 lakh crore (approximately \$1.84 trillion). But in FY23, growth

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